

27 Sep 2026 17:47:19 ET | 12 pages

China Communications Infrastructure

US Optical Transceiver Bill: Direct Exposure Limited and Policy Overhang Persists

CITI'S TAKE

On 25 Sep 2026, [four U.S. senators introduced the Securing National Security Systems from Chinese Optical Transceivers Act](#), explicitly naming **Innolight** and **Eoptolink** as restricted vendors for U.S. National Security Systems (NSS) procurement. As the bill is still at early legislative stage and would not impose a blanket ban across commercial data centers or AI infrastructure, we believe the direct earnings impact should remain limited near term. For Innolight and Eoptolink, the main concern is not the immediate loss of NSS orders, but the possibility of broader restrictions in the future. We will closely monitor the potential restriction progress including this proposed bill and the [FCC's updates](#).

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Scope: Targeted, Not Sweeping

S.5548 is a targeted restriction on NSS procurement — a legally defined category encompassing military command and control, intelligence activities, classified information systems, and cryptographic national security functions. It is not a blanket ban on commercial data center or AI infrastructure markets, where Innolight and Eoptolink derive most of their revenue (the majority of their overseas business comes from AI companies and CSPs). Hyperscaler-driven demand from cloud giants and AI buildouts — currently the primary growth engine for both companies — falls outside the direct scope of this legislation.

The immediate revenue impact is likely minimal: NSS-related procurement represents a niche slice of the transceiver market, and neither Innolight nor Eoptolink is believed to hold significant exposure to U.S. government defense or intelligence supply chains. The five-year transition period with waiver provisions further cushions any near-term disruption.

At Early Stage of Legislative Process

The next steps for this bill could include committee hearings, amendments, and a committee vote, followed by consideration by the full Senate. A corresponding measure would then need to pass the House in identical form before being signed by the president. The provisions could also be incorporated into broader legislation, such as an annual defense or cybersecurity bill. Therefore, the timing, final scope, and probability of enactment remain uncertain and need to be monitored.

Political Risk Overhang

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Being name-dropped in U.S. federal legislation alongside language like "national security threat" creates a political risk overhang and signals a posture by some lawmakers in Washington toward Chinese optical component vendors. There is possibility that some U.S. enterprise customers with defense or government adjacency may proactively avoid perceived regulatory risk by dropping Chinese vendors' orders. We view this proposed bill as a potential risk signal worth following closely going forward.

Eoptolink Technology

(300502.SZ; Rmb435.0; 1; 24 Sep 26; 15:00)

Valuation

Our target price for Eoptolink of Rmb701 is based on 20.0x FY27E, set at -0.5SD the 5-year historical mean to reflect a strong 800G/1.6T cycle, ASIC and Scale-Up Opportunity at CSP customers on the one hand and CPO cannibalization at its key customer Nvidia on the other.

Risks

Downside risks that could impede the stock from reaching our target price include: 1) slower-than-expected data center investments, 2) lower-than-expected optical network capex by telcos and corporates/governments in China, 3) margin pressures due to price competition, 4) slower-than-expected expansion of new customers, 5) China-US tech disputes and 6) faster-than-expected CPO deployment.

Innolight

(3308.HK; HK\$1171.0; 1; 25 Sep 26; 16:10)

Valuation

Our target price for Innolight H-shares of HK\$1,524 is based on 16.2x FY27E forward PE, set 1SD below Innolight A-share's three-year historical mean, reflecting the sector-wide overhang on FCC rules impact. That target P/E is also equivalent to a very slight premium to the direct peers' current trading average, and we believe is reasonable in the context of 129%/149% forecast three-year revenue/earnings CAGR. It also is in sync with our valuation approach to Eoptolink, which is likewise set at a discount to historical mean.

Risks

Our quant risk-rating screen suggests a High Risk flag for the H-shares given their short trading history (listed July 2026); however, we think a High Risk flag is not appropriate given the shares already have a lengthy trading history in the Shenzhen market, and also given the company's scale and track record. Downside risks that could impede the shares from reaching our target price include high customer concentration; intense competition; market demand cyclicity; technology risks; supply chain and manufacturing risks; and geopolitical and trade risks. Specific risks include 1) slower-than-expected AIDC investments; 2) weaker-than-expected telecoms market expansion; 3) margin pressures due to price competition; and 4) China-US tech disputes intensifying.

Innolight

(300308.SZ; Rmb895.86; 1; 24 Sep 26; 15:00)

Valuation

Our target price for Innolight A-shares of Rmb1,325 is based on 16.2x FY27E forward PE, set 1SD below Innolight A-share's three-year historical mean, reflecting the sector-wide overhang on FCC rules impact. That target P/E is also equivalent to a very slight premium to the direct peers' current trading average, and we believe is reasonable in the context of 129%/149% forecast three-year revenue/earnings CAGR. It also is in sync with our valuation approach to Eoptolink, which is likewise set at a discount to historical mean.

Risks

Downside risks that could impede the shares from reaching our target price include high customer concentration; intense competition; market demand cyclicity; technology risks; supply chain and manufacturing risks; and geopolitical and trade risks. Specific risks include 1) slower-than-expected AIDC investments; 2) weaker-than-expected telecoms market expansion; 3) margin pressures due to price competition; and 4) China-US tech disputes intensifying.

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Appendix A-1

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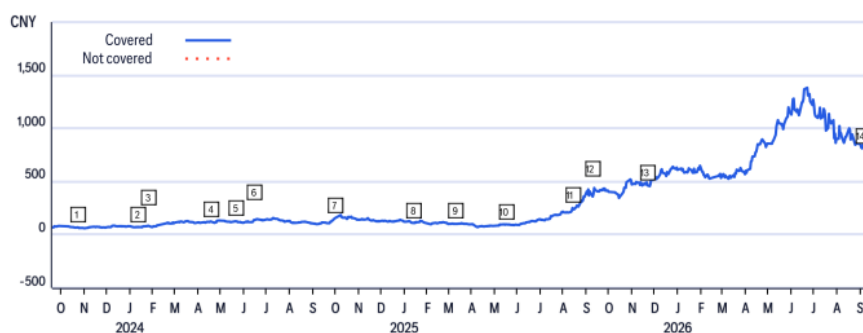
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Innolight (300308.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Kyna Wong



Date	Rating	Target Price	Closing Price
1 23-Oct-23 04:02:54	1	*99.29	68.64
2 11-Jan-24 05:38:30	1	*115.71	73.85
3 28-Jan-24 20:10:48	1	*125.71	82.83
4 21-Apr-24 21:16:15	1	*146.43	121.93
5 21-May-24 19:59:43	1	*161.43	126.74

*Indicates Change

Date	Rating	Target Price	Closing Price
6 16-Jun-24 18:24:04	1	*183.00	138.30
7 07-Oct-24 20:25:22	1	*226.00	154.86
8 13-Jan-25 10:22:26	1	*215.00	110.80
9 11-Mar-25 18:00:35	1	*130.00	101.78
10 16-May-25 15:07:25	1	*132.00	97.83

Date	Rating	Target Price	Closing Price
11 13-Aug-25 14:24:12	1	*347.00	252.00
12 09-Sep-25 18:56:12	1	*569.00	359.29
13 23-Nov-25 18:05:33	*--	-	464.01
14 06-Sep-26 17:30:49	*1	*1,325.00	814.00

Rating/target price changes above reflect Eastern Time

Eoptolink Technology (300502.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Kyna Wong



Date	Rating	Target Price	Closing Price
1 23-Oct-23 14:03:04	*2	*18.83	17.05
2 11-Jan-24 05:38:30	*1	*29.29	23.42
3 12-May-24 21:34:55	1	*49.49	42.77
4 17-Jun-24 10:23:12	1	*67.86	56.37

*Indicates Change

Date	Rating	Target Price	Closing Price
5 07-Oct-24 20:25:22	1	*89.29	66.31
6 11-Mar-25 18:00:35	1	*76.53	48.11
7 16-May-25 15:07:25	1	*91.33	60.51
8 14-Jul-25 11:28:09	1	*141.43	93.50

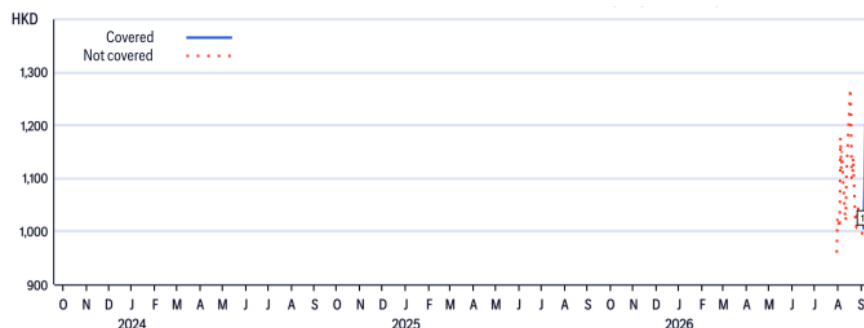
Date	Rating	Target Price	Closing Price
9 13-Aug-25 14:24:12	1	*229.29	168.97
10 09-Sep-25 18:56:12	1	*337.14	225.23
11 23-Feb-26 20:46:05	1	*353.57	261.51
12 24-Jun-26 06:10:55	1	*701.00	555.30

Rating/target price changes above reflect Eastern Time

Innolight (3308.HK)

Ratings and Target Price History Fundamental Research

Analyst: Kyna Wong



	Date	Rating	Target Price	Closing Price
1	06-Sep-26 17:30:49	*1	*1,524.00	1,006.00

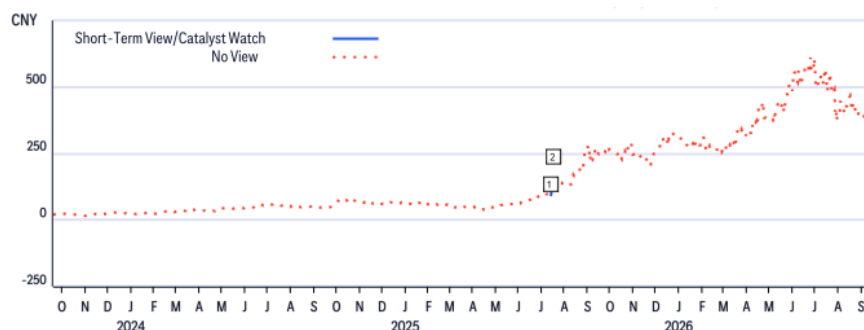
*Indicates Change

Rating/target price changes above reflect Eastern Time

Eoptolink Technology (300502.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Kyna Wong



	Date	Action	Expected Direction	Duration	Closing Price
1	14-Jul-25 07:28:09	Add CW	Upside	30 Days	93.50

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	17-Jul-25 22:54:31	Remove CW	Upside	30 Days	131.07

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